

AMD Q2 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Advanced Micro Devices, Inc. (AMD)
Report	Q2 2025
Release date	Tuesday 5 August 2025, after close
Earnings call	5:00pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 5 August 2025
Read mode	transcript and news only
Time to produce	44 minutes

Source material (read this first)

Headline financials

- Revenue \$7.7B, up 32% year over year.
- Data Center \$3.2B, up 14%. Client and Gaming \$3.6B, up 69%. Embedded \$824M, down 4%.
- Non-GAAP gross margin 54% excluding the \$800M MI308 China inventory write-down. Diluted EPS \$0.48, reduced by \$0.43 of charges.
- Record free cash flow of \$1.2B.

Forward guide

- Q3 2025 revenue guided to about \$8.7B plus or minus \$300M, up 28% year over year.
- Q3 non-GAAP gross margin about 54%, opex about \$2.55B.
- No MI308 China revenue included in guidance while export licenses remain under review.

Hedges and concerns

- MI308 China export licenses under review, so no China GPU revenue is assumed.
- Embedded faces mixed end-market demand with unfavorable product mix.
- Gross margin pressure from the MI350 ramp, partly offset by efficiencies.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- US export controls announced in April 2025 blocked MI308 shipments to China and forced a pre-announced charge of roughly \$800M, so the size of the hit was already known.
- AMD launched the MI350 accelerator series in June 2025 and the AI trade was strong through the summer.
- The focus going in was data center GPU momentum against Nvidia, and whether management would signal any path back into China.

Candidate evidence quotes

1. “More than 100 new AMD-powered cloud instances launched in the quarter” – Su, prepared remarks.
2. “7 of the top 10 model builders and AI companies use Instinct” – Su, prepared remarks.
3. “Free cash flow was a record of \$1.2 billion” – Hu, prepared remarks.
4. “MI355 matches or exceeds B200 in critical training workloads” – Su, prepared remarks.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.65

Rationale. A strong beat with Client and Gaming driving record free cash flow, MI355 matching B200 on key workloads, and a solid Q3 guide that assumes nothing from China, leaving clear upside if the data center reaccelerates.

2 Directional signal

Signal: BUY

Rationale. A clean beat with record cash flow and a credible AI roadmap, with China as pure optionality on top. BUY.

3 Structured summary

- **Data center and AI.** The soft spot. Growth slowed to 14% in the one segment the AI thesis depends on.

- **Client and gaming.** Very strong, but the market treats PC-led beats as lower quality than data center ones.
- **Margins and cash.** Respectable underneath the one-off China charge, with record free cash flow.
- **Forward guide.** Solid on paper, though it assumes nothing from China, which caps the upside story.

4 Evidence quotes

1. “More than 100 new AMD-powered cloud instances launched in the quarter” – Su, prepared remarks (data center).
2. “Free cash flow was a record of \$1.2 billion” – Hu, prepared remarks (cash).
3. “MI355 matches or exceeds B200 in critical training workloads” – Su, prepared remarks (AI positioning).

— SEALED —

Overnight move and call verification

AMD close, 5 August 2025 (release day)	\$174.31
AMD open, 6 August 2025	\$165.05
Overnight move (release close → next open)	−5.31%

Call verification

- HOLD band test: $|-5.31\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**. The correct call was **SELL**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−5.31%
D+1 close	−6.42%
D+3 close	−0.89%
D+5 close	+0.37%
D+10 close	−4.45%
D+20 close	−6.99%